

"Risk comes from not knowing what you're doing."

Warren Buffet

LIFESTYLING

This is an investment strategy that changes the ratio of different assets according to an individual's age. For example, when young, the investor may put 100 percent of assets into high-risk investments such as futures. But funds are increasingly transferred into less risky investments such as bonds as a person nears retirement. Moving money from higher-risk to lower-risk investments can be preset to happen automatically, for example 10 years before a person retires.



Shares

Higher risk, potential for higher income

- › Ordinary See pp.246–247
- › Preference See pp.246–247
- › Options See pp.246–247
- › Futures See pp.246–247
- › Units in managed share funds See pp.168–169



Property

Medium risk, potential for steady income

- › Rent from residential, commercial, industrial See pp.170–171
- › Profit from buying and selling See pp.176–179



Interest-paying

Lower risk, potential for some income

- › Savings accounts See pp.166–167
- › Term deposits
- › Debentures
- › Bonds See pp.166–167



NEED TO KNOW

- › **Investment income** A regular flow of money from investments such as rent, interest, dividends, and capital gains.
- › **Net income** The money left after tax and business expenses.
- › **Equities** An alternative term for stocks and shares.
- › **Diversification** The investment of money in a variety of ways to minimize risk and maximize returns by spreading the risk across different investments.